

found many uses, its inherent characteristic is of being untraceable. This opens up cryptos to the perils of money laundering. Cryptocurrencies operate in a decentralised manner, distinct from traditional currencies, as they are not issued or regulated by any central authority. Add to that the fact that the advent of cryptocurrency exchanges has enhanced the accessibility of cryptos, concerns about the potential misuse of these digital assets for unreported and untaxed transactions go up multifold.

In fact, in June 2021, the Enforcement Directorate issued a show-cause notice to WazirX for allegedly violating provisions of the Foreign Exchange Management Act (FEMA), for crypto deals worth ₹2,790.74 crore. This was in connection with a money-laundering investigation against Chinese-owned illegal online betting applications. That probe found that Chinese individuals had allegedly laundered about ₹57 crore by converting rupee deposits into crypto asset Tether, which was transferred to wallets on the Cayman Islands-registered Binance exchange, via the WazirX platform. The instructions for these transactions were received from overseas.

While Shetty refuses to comment on this case as the matter is sub-judice, what it does highlight are the potential risks. To keep such risks in check, cryptocurrencies were brought under the purview of the Prevention of Money Laundering Act (PMLA) in March 2023. Sawana of Lakshmikumaran & Sridharan explains that in India, FEMA—which governs cross-border payments using convertible foreign currency—does not identify crypto assets as currency and therefore using them as payment for cross-border transactions

VIKRAM SUBBURAJ

CEO & CO-FOUNDER,
GIOTTUS



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ASHISH SINGHAL

CO-FOUNDER & CEO,
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“We want to provide the right assortment of asset classes... fixed deposits, mutual funds and more... by the end of FY24”

is prohibited. “However, cryptocurrency being borderless and not having any apex authority has been used to undertake various activities in the past... [such as] to transfer funds from one country to another without being on the radar of the Reserve Bank of India. Further, with a lack of regulation, there was no KYC being undertaken for dealers in transactions using cryptocurrency,” he adds.

The Indian government is working on crypto rules. The Cryptocurrency and Regulation of Official Digital Currency Bill 2021 is still in process. There are also global rules being developed by the Financial Stability Board (FSB), an international body that monitors and makes recommendations about the global financial system. FSB says crypto businesses need proper rules and that the big exchanges must share info with other countries.

FSB and the International Monetary Fund recently published a paper on crypto assets that says cross-border payments via crypto have created a challenge for regulators. But, it also stresses that blanket bans on trading and mining of crypto assets would not work and would, in turn, create “incentives for circumvention due to the inherent borderless nature of crypto assets”. To curb their misuse, the paper, also submitted to the G20 members, calls for nations to implement the Financial Action Task Force anti-money laundering and counter-terrorist financing standards that apply to virtual assets and virtual asset service providers.

There has been some headway. “The global push for clear policies on crypto assets has gained momentum under India’s [G20] presidency, and a global consensus is emerging,” Sitharaman said